

COVER SHEET

SEC Registration Number

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Company Name

I	O	N	I	C	S	,	I	N	C	.	A	N	D	S	U	B	S	I	D	I	A	R	I	E	S

Principal Office (No./Street/Barangay/City/Town/Province)

C	i	r	c	u	i	t	S	t	r	e	e	t	,	L	i	g	h	t	I	n	d	u	s	t	r	Y
a	n	d	S	c	i	e	n	c	e	P	a	r	k	o	f	t	h	e								
P	h	i	l	i	p	p	i	n	e	s	I	,	B	o	.	D	i	e	z	m	o	,				
C	a	b	u	y	a	o	C	i	t	y	,	L	a	g	u	n	a									

Form Type

1	7	-	Q
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Department requiring the report

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Secondary License Type, If Applicable

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COMPANY INFORMATION

Company's Email Address

ronan.andrade@ionics-ems.com

Company's Telephone Number/s

(049) 508-1111

Mobile Number

0917-869-5688

No. of Stockholders

733

Annual Meeting
Month/Day

06/11

Fiscal Year
Month/Day

09/30

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

RONAN R. ANDRADE

Email Address

ronan.andrade@ionics-ems.com

Telephone Number/s

(049) 508-1111

Mobile Number

0917-869-5688

Contact Person's Address

No. 14 Mountain Drive, Light Industry and Science Park II Brgy. La Mesa, Calamba, Laguna

Note: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SRC RULE 17 (2) (B) THEREUNDER

1. For the quarter ended September 30, 2025
2. SEC Identification Number 107432
3. BIR Tax Identification No. 000-124-671-000
4. Exact name of issuer as specified in its charter **IONICS, INC.**
5. Province, country or other jurisdiction of incorporation or organization Philippines
6. Industry classification code: (SEC Use Only)
7. Address of principal office Circuit Street, Light Industry and Science Park of the Philippines I, Bo. Diezmo, Cabuyao City, Laguna
Postal code 4025
8. Issuer's telephone number, including area code (049) 508-1111 and Fax Number (049) 508-111 loc. 309
9. In 1996, the Company changed its principal place of business from Makati, Metro Manila to Cabuyao, Laguna.
10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the SRC

Title of Each Class	Number of Shares of Common Stock Outstanding
Common	1.00 par value issued 857,974,992 shares and outstanding, 837,130,992 shares (net of 20,844,000 shares of treasury stock).

11. Are any or all of these securities listed on a Stock Exchange?

Yes [x] No []

If yes, state the name of such Stock Exchange and the classes of securities listed therein:
Philippine Stock Exchange

12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Section 11 of the SRC and SRC Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

Yes [x] No []

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [x] No []

PART I – FINANCIAL INFORMATION

ITEM 1. Unaudited Interim Condensed Consolidated Financial Statements

The unaudited interim condensed consolidated financial statements including notes thereto are filed as part of this report (pages 10-40).

These unaudited interim condensed consolidated financial statements include the accounts of the Parent Company and its wholly-owned subsidiaries, Ionics Properties, Inc. (IPI), Synertronix, Inc. (SI), Ionics Circuits Limited (ICL), Iomni Precision, Inc. (Iomni), Ionics Products Solutions, Inc. (IPSI) and the 97%-owned Ionics EMS, Inc. (EMS) and a Subsidiary (EMS-USA). All intercompany balances have been eliminated in the consolidation.

ITEM 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Below are the Consolidated Key Financial Ratios for the nine months period ended September 30, 2025 and for the year ended December 31, 2024:

	September 30, 2025	December 31, 2024
Revenue Growth	7.39%	9.60%
Gross Profit Margin	9.89%	10.02%
Net Income Margin	3.36%	2.87%
Return on Equity	4.23%	4.59%
Current Ratio	1.80:1	1.88:1
Quick Asset Ratio	0.74:1	0.72:1
Leverage Ratio	0.34:1	0.31:1
Debt-to-Equity Ratio	0.79:1	0.75:1
Asset-to-Equity Ratio	1.79:1	1.75:1
Interest Rate Coverage Ratio	5.13:1	3.30:1

1. **Revenue Growth**

Revenue growth is computed from current revenue less revenue of the prior period divided by revenue of the prior period. The result is expressed in percentage.

2. **Gross Profit Margin**

Gross profit margin reflects the management's policies related to pricing and production efficiency. This is computed by dividing gross profit by the total revenue for the period. The result is expressed in percentage.

3. **Net Income Margin**

Net income margin is the ratio of the Group's net income for a given period. This is computed by dividing net income by the total revenue for the period. The result is expressed in percentage.

4. **Return on Equity**

Return on equity ratio is the ratio of the Group's net income to equity. This measures the management's ability to generate returns on their investments. This is computed by dividing net income by total equity. The result is expressed in percentage.

5. **Current Ratio**

Current ratio is the ratio of the Group's current resources and its current obligation. This is computed by dividing current assets by current liabilities.

6. **Quick Asset Ratio**

Quick asset ratio is the ratio of the Group's current assets to its current obligations. This is computed by dividing sum of cash and cash equivalents, marketable securities and receivables by current liabilities.

7. **Leverage Ratio**

Leverage ratio determines the Group's cost mix and its effects on the operating income. This is computed by dividing net debt by the sum of total equity and net debt.

8. **Debt-to-Equity Ratio**

The debt-to-equity ratio is used to measure the Group's financial standing and ability to repay its obligations. This is computed by dividing total liabilities by equity.

9. **Asset-to-Equity Ratio**

The asset-to-equity ratio shows the relationship of the total assets of the Group to the portion owned by shareholders. This indicates the Group's leverage (debt) used to finance the Group. This is computed by dividing total assets by equity.

10. **Interest rate Coverage Ratio**

Interest rate coverage ratio is the ratio of the Group's ability to meet its interest payment. This is computed by dividing the sum of income before income taxes and finance costs by the finance costs.

As of the filing date, the management of the Group is not aware of:

- a) any known trends, demands, commitments, events or uncertainties that will have a material impact on the issuer's liquidity;
- b) any events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation;
- c) all material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period;
- d) any material commitments for capital expenditures, except for the approved capital expenditures for the following:
 - 1. IEMS - Solar project for Plants 2,5 and 6
 - 2. IPI
 - construction of Standard Factory Building in LISP IV, Malvar Batangas
 - replacement of chillers for Plant 2 and Plant 7

The source of the funds to finance these capital expenditures is coming from cash flows from operations and bank borrowings.

- e) any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/ revenues/ income from continuing operations
- f) any significant elements of income or loss that did not arise from the issuer's continuing operations; and,
- g) any seasonal aspects that had a material effect on the financial condition or results of operations.

The causes for any material change from period to period, which shall include vertical and horizontal analyses of any material item, were disclosed in page number 5 to 7 of this report.

CONSOLIDATED FINANCIAL POSITION

As of September 30, 2025, the consolidated assets of the Group amounted to US\$122.60 million which is US\$5.10 million higher than the US\$117.50 million as of December 31, 2024. The increase in the Group's total assets was mainly due to the increase in receivables, contract asset, investment property and right-of-use asset

Current ratio is 1.80:1 for the nine months ended September 30, 2025 and 1.88:1 for the year ended December 31, 2024 while debt-to-equity ratio is 0.75:1 in December 31, 2024 and 0.79:1 in nine months ended September 30, 2025.

Below is the summary of Statements of Financial Position accounts with 5% or more increase (decrease):

	Percentage increase (decrease)	
	September 30, 2025 vs. December 31, 2024	December 31, 2024 vs. December 31, 2023
ASSETS		
Cash and cash equivalents	(30)	43
Receivables	37	N/A
Contract assets	24	13
Inventories	N/A	(7)
Advances to suppliers	(14)	155
Prepayments and other current assets	N/A	(37)
Financial assets at FVOCI	N/A	(8)
Property, plant and equipment - net	(11)	(20)
Investment properties	12	N/A
Right-of-use assets	19	(47)
Noncurrent asset held for sale	(63)	N/A
LIABILITIES		
Accounts payable and other liabilities	39	(13)
Contract liabilities	29	(19)
Bank loans and long-term debt	(23)	(10)
Lease liabilities	14	(46)
Income tax payable	(11)	44

As of September 30, 2025 (09.30.25 vs 12.31.24)

Cash decreased due to partial payment of working capital loans, payment of dividends to stockholders and downpayment for the construction of Standard Factory Building in LISP IV, Malvar Batangas. Receivables increased due to higher sales for the 3rd quarter of 2025. Contract assets increased due to higher level of work in process and finished goods. The decrease in advances to suppliers was attributable to the delivery of materials covered by advanced payments and controlled material ordering for the period. The decrease in prepayments and other current assets was due to amortization of prepayments related to IT licenses and maintenance agreement. Property and equipment decreased due to depreciation during the period. Right-of-use assets (ROU) increased due to renewal of contract for warehouse facility. Noncurrent asset held for sale decreased due to sale of equipment to third-party. The increase in accounts payable and accrued expenses is attributable to the purchase of raw materials used in production. Contract liabilities increased due to additional advance payment for aging materials and advance payment by customers for material ordering and for aging materials. Bank loans and long-term debt decreased due to partial payments of working capital loans and amortization of long term debt. Lease liabilities increased due to renewal of contract for third party company. Income taxes decreased due to payment of income tax during the period.

As of December 31, 2024 (12.31.24 vs 12.31.23)

Cash increased due cash flows generated from operations. Contract assets increased due to higher level of work in process and finished goods. Inventories decreased due increase in consumption due to higher turnkey sales. The increase in advances to suppliers was due to advance payment made to suppliers. The decreased in prepayments and other current assets was due to amortization of prepayments during the year. Assets held for sale increase due to reclassification of the recoverable value of machinery and equipment of Iomni to this account. Financial Assets at FVOCI decreased due to fair value loss recognized as of December 31, 2024. Property and equipment decrease due to

depreciation during the year and reclassification to asset available for sales and impairment made by Iomni. Right-of-use assets (ROU) decreased due to amortization for the year. The decrease in accounts payable and accrued expenses is attributable to the payment made to suppliers and controlled material ordering. Contract liabilities decreased due to return of customers advanced payment and application against receivable. Bank loans and long-term debt decreased due to payments made during the year. Lease liabilities decreased due to rental payment for the year. Income taxes increased due to provision of income tax during the year.

CONSOLIDATED RESULTS OF OPERATIONS

The summarized revenues and net income (losses) of the Group for the nine months ended September 30, 2025 and 2024 are presented as follows (amounts in US Dollars):

COMPANY	September 30, 2025 (9 months)					September 30, 2024 (9 months)				
	REVENUE			Operating Expenses	NET INCOME (LOSS)*	REVENUE			Operating Expenses	NET INCOME (LOSS)*
	Sales	Rent income	Total			Sales	Rental Income and Other Income	Total		
Parent	–	532,667	532,667	567,223	1,325,974	–	507,151	507,151	720,300	(311,733)
EMS and a Subsidiary	84,392,294	–	84,392,294	3,532,178	2,013,636	77,542,751	–	77,542,751	3,107,093	1,614,767
IPI	–	2,205,445	2,205,445	256,046	1,088,903	–	2,642,154	2,642,154	117,437	1,656,100
ICL	–	–	–	6,123	(6,159)	–	–	–	8,059	(10,837)
Iomni	677,464	92,007	769,471	62,033	(111,071)	1,417,746	92,007	1,509,753	107,743	(396,630)
Synertronix	–	–	–	–	–	–	–	–	–	–
IPSI	–	–	–	878	(1,441)	–	–	–	648	(914)
TOTAL	85,069,758	2,830,120	87,898,878	4,424,481	4,309,842	78,960,497	3,241,312	82,201,809	4,061,280	2,550,753
Eliminations	(307,141)	(1,136,575)	(1,443,716)	(203,078)	(1,473,465)	(614,368)	(1,083,549)	(1,697,917)	(441,727)	355,247
Consolidated	84,762,617	1,693,545	86,456,162	4,221,403	2,836,376	78,346,129	2,157,763	80,503,892	3,619,553	2,906,000

*Net income attributable to equity holders of the Parent Company.

The Group's sales increased by US\$6.42 million from US\$78.35 million for the nine months ended September 30, 2024 to US\$84.76 million for the nine months ended September 30, 2025 due to higher demand from turnkey customers. The gross profit increased by US\$0.38 million or 5% from US\$8.17 million for the nine months ended September 30, 2024 to US\$8.55 million for the same period in 2025.

Operating expenses increased by US\$0.69 million from US\$3.62 million for the nine months ended September 30, 2024 to US\$4.31 million for the nine months ended September 30, 2025 primarily due increase in commission as a result of higher sales subject to commission. Interest expenses decreased by US\$0.43 million from US\$1.27 million for the nine months ended September 30, 2024 to US\$0.84 million for the nine months ended September 30, 2025 due to lower bank loan and lease liabilities balances and lower interest rate.

With the foregoing, the Group consolidated net income attributable to equity holders of the Parent Company decreased from US\$2.85 million to US\$2.84 million in the nine months ended September 30, 2025 and 2024, respectively.

INDIVIDUAL RESULT OF OPERATIONS

Ionics, Inc.

The Parent Company reported a net income of US\$1.33 million due to recognition of dividend income from IPI. The Parent Company also recognized impairment provision of US\$0.11 million representing the net loss of Iomni for the nine months ended September 30, 2025.

The individual performances of the subsidiaries for the nine months ended September 30, 2025 and 2024 are as follows:

Ionics EMS, Inc. and a Subsidiary (IEMS)

IEMS revenue increased by 9% or US\$6.85 million from US\$77.54 million for the nine months ended September 30, 2024 to US\$84.39 million in the same period of 2025 due to higher demand from Turnkey customers. With the increase in sales, gross profit increased by 11% or US\$0.64 million from US\$6.05 million for the nine months ended September 30, 2024 to US\$6.69 million in the same period of 2025.

Operating expenses increased by US\$0.43 million from US\$3.12 million for the nine months period ended September 30, 2024 to US\$3.53 million in the same period of 2025 primarily due to increase in commission as a result of higher sales subject to commission. Interest expense decreased to US\$0.40 million for the nine months period ended September 30, 2025 from US\$1.05 million in the same period of 2024 due to lower bank loan and lease liabilities balances and lower interest rates.

With the foregoing, the Group reported an increase in net income of US\$0.40 million from US\$1.62 million for the nine months ended September 30, 2024 to US\$2.01 million for the nine months as of September 30, 2025.

Ionics Properties, Inc. (IPI)

IPI contributed rent income of US\$2.21 million and US\$2.64 million for the nine months ended September 30, 2025 and 2024, respectively. Net income decreased from US\$1.63 million for the nine months ended September 30, 2024 to US\$1.09 million for the nine months ended September 30, 2025 due to impairment of aging rental and non-accrual of rental income effective second quarter of 2025 from one of the lessees and rental rate reduction in connection with a long-term lease contract with another lessee.

Ionics Circuits, Limited (ICL)

ICL reported a net loss amounting to US\$0.006 million and US\$0.001 million for the nine months ended September 30, 2025 and 2024, respectively. This is due to the higher share in net losses of investees.

Iomni Precision, Inc. (Iomni)

Iomni ceased its manufacturing activity effective May 15, 2025. As a result, Iomni's revenue decreased to US\$0.77 million for the nine months ended September 30, 2025 from US\$1.51 million for the nine months ended September 30, 2024. Iomni reported a gross loss of US\$0.03 for the nine months ended September 30, 2025 and gross loss US\$0.25 million for the nine months ended September 30, 2024.

Operating expenses amounted to US\$0.06 million for the nine months ended September 30, 2025 and US\$0.12 million for the nine months ended September 30, 2024.

With the foregoing, Iomni reported a net loss of US\$0.11 million lower than the net loss of US\$0.40 million for the nine months ended September 30, 2025 and 2024 respectively.

Ionics Products Solutions, Inc. (IPSI)

IPSI reported net loss of US\$1,441 and net loss of US\$914 for the nine months ended September 30, 2025 and 2024 respectively, respectively.

Synertronix, Inc. (SI)

SI has no commercial operations.

ITEM 3. Additional Requirements

Financial Soundness Indicator

Below are the financial ratios that are relevant to the Group for two comparative periods:

a. Liquidity Ratio

	September 30, 2025	December 31, 2024
Current ratio	1.80:1	1.88:1
Quick asset ratio	0.74:1	0.72:1
Debt-to-equity ratio	0.79:1	0.75:1
Asset-to-equity ratio	1.79:1	1.75:1

b. Profitability Ratio

	September 30, 2025	December 31, 2024
Interest rate coverage ratio	5.13:1	3.30:1
Profitability ratio		
Gross profit margin	9.89%	10.02%
Operating income margin	5.00%	5.47%
Net income margin	3.36%	2.87%
Revenue growth	7.39%	9.60%

PART II - OTHER INFORMATION

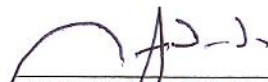
As of and for the nine months period ended September 30, 2025, the Group:

- a) has not experienced any suspension of its operations, except for Iomni Precision, Inc. which ceased manufacturing operations effective May 15, 2025.
- b) has no contract of merger, consolidation or joint venture, contract of management, licensing, marketing, distributorship or similar agreement was signed;
- c) has no offering of right, granting of stock options and corresponding plans; and
- d) has not done any transfer of assets during the quarter.

SIGNATURE

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

ISSUER : IONICS, INC.



RONAN R. ANDRADE
Chief Finance Officer

November 14, 2025
Date



RAYMOND MARIA C. QUA
President and Chief Executive Officer

November 14, 2025
Date



IONICS, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(Amounts in Thousands)

	Unaudited September 30, 2025	Audited December 31, 2024
ASSETS		
Current Assets		
Cash (Notes 3, 4, 5 and 23)	US\$6,762	US\$9,651
Receivables (Notes 3, 6 and 23)	25,417	18,556
Contract assets (Notes 3 and 7)	9,741	7,829
Inventories (Note 8)	33,243	33,477
Advances to suppliers	2,536	2,939
Prepayments and other current assets	609	610
Noncurrent assets held for sale	171	465
Total Current Assets	78,479	73,527
Noncurrent Assets		
Financial assets at FVOCI (Notes 3, 9 and 23)	2,761	2,752
Investments in associates (Note 10)	681	660
Property, plant and equipment (Note 11)	18,707	21,004
Investment properties (Note 12)	20,167	17,980
Right-of-use assets (Note 20)	1,197	1,006
Deferred tax assets - net	14	19
Refundable deposit (Notes 4 and 23)	597	553
Total Noncurrent Assets	44,124	43,974
	US\$122,603	US\$117,501
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other liabilities (Notes 3, 4, 13 and 23)	US\$24,177	US\$17,362
Contract liabilities (Note 7)	6,607	5,118
Current portion of bank loans and long-term debt (Notes 3, 4, 14 and 23)	11,941	15,598
Current portion of lease liabilities (Notes 3, 4, 20 and 23)	532	637
Dividend payable (Note 24)	250	121
Income tax payable	176	203
Total Current Liabilities	43,683	39,039
Noncurrent Liabilities		
Bank loans and long-term debt - net of current portion (Notes 3, 4, 14 and 23)	4,453	5,782
Lease liabilities - net of current portion (Notes 3, 4, 20 and 23)	735	470
Net pension liabilities	3,746	3,501
Deferred tax liabilities - net	257	223
Other noncurrent liabilities (Notes 3, 4, 13 and 23)	1,090	1,301
Total Noncurrent Liabilities	10,281	11,277
Total Liabilities	US\$53,964	US\$50,316

	Unaudited September 30, 2025	Audited December 31, 2024
Equity (Note 4)		
Equity attributable to the equity holders of the Parent Company:		
Capital stock	US\$17,633	US\$17,633
Additional paid-in capital	9,072	9,072
Retained earnings	44,856	43,483
Other comprehensive income (loss):		
Unrealized losses on financial assets at FVOCI (Note 9)	(1,326)	(1,331)
Exchange differences	923	913
Other reserves	(897)	(897)
Adjustment to non-controlling interests	(943)	(943)
Treasury shares	(1,365)	(1,365)
	67,953	66,565
Noncontrolling interests	686	620
Total Equity	68,639	67,185
	US\$122,603	US\$117,501

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

IONICS, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Thousands, Except Earnings (Loss) per Share)

	For the Period Ended September 30			
	2025		2024	
	July to September (3 months)	January to September (9 months)	July to September (3 months)	January to September (9 months)
REVENUE (Note 22)				
Revenue from contracts with customers	US\$32,533	US\$84,763	US\$27,877	US\$78,346
Rental income	484	1,694	719	2,158
	33,017	86,457	28,596	80,504
COST OF SALES AND RENTAL SERVICES				
Cost of sales (Note 15)	29,667	77,171	25,142	71,713
Cost of rental services (Note 16)	283	737	202	621
	29,950	77,908	25,344	72,334
GROSS PROFIT	3,067	8,549	3,252	8,170
OPERATING EXPENSES (Note 17)	1,465	4,221	1,358	3,620
OTHER INCOME (EXPENSES)				
Share in net income of associate (Note 10)	14	6	(28)	(1)
Finance costs (Note 18)	(253)	(836)	(414)	(1,265)
Others - net (Note 19)	115	(48)	(177)	111
	(124)	(878)	(619)	(1,155)
INCOME BEFORE INCOME TAX	1,478	3,450	1,275	3,395
PROVISION FOR INCOME TAX	190	548	201	489
NET INCOME	1,288	2,902	1,074	2,906
OTHER COMPREHENSIVE INCOME (LOSS)				
Item that may be reclassified to profit or loss				
Exchange differences	10	10	—	(111)
Items that may not be reclassified to profit or loss:				
Share in other comprehensive gain (loss) of associate (Note 10)	(8)	—	1	1
Fair value gain (loss) on financial assets at FVOCI (Note 9)	2	5	(5)	616
	—	15	(4)	506
TOTAL COMPREHENSIVE INCOME	US\$1,288	US\$2,917	US\$1,070	US\$3,412
NET INCOME ATTRIBUTABLE TO:				
Equity holders of the Parent Company	US\$1,255	US\$2,836	US\$1,054	US\$2,853
Noncontrolling interests	33	66	20	53
	US\$1,288	US\$2,902	US\$1,074	US\$2,906
TOTAL COMPREHENSIVE INCOME				
ATTRIBUTABLE TO:				
Equity holders of the Parent Company	US\$1,255	US\$2,851	US\$1,050	US\$3,359
Noncontrolling interests	33	66	20	53
	US\$1,288	US\$2,917	US\$1,070	US\$3,412
BASIC/DILUTED EARNINGS PER SHARE (Note 21)				
For net income for the year attributable to ordinary equity holders of the Parent Company	US\$0.00152	US\$0.00344	US\$0.0013	US\$0.0035

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statement

IONICS, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(Amounts in Thousands)

	Attributable to the Equity Holders of the Parent Company										
	Capital Stock	Additional Paid-in Capital	Retained Earnings	Unrealized Gains (Losses) on Financial Assets at FVOCI (Note 9)	Other Reserves	Adjustment to Non- Controlling Interest	Exchange Difference	Treasury Shares	Total	Non- Controlling Interest	Total
	For the period ended September 30, 2025										
Balances as of January 1, 2025	US\$17,633	US\$9,072	US\$43,483	(US\$1,331)	(US\$897)	(US\$943)	US\$913	(US\$1,365)	US\$66,565	US\$620	US\$67,185
Net income	–	–	2,836	–	–	–	–	–	2,836	66	2,902
Other comprehensive income (loss)	–	–	–	5	–	–	10	–	15	–	15
Total comprehensive income (loss)	–	–	2,836	5	–	–	10	–	2,851	66	2,917
Dividends declared	–	–	(1,463)	–	–	–	–	–	(1,463)	–	(1,463)
Balances as of September 30, 2025	US\$17,633	US\$9,072	US\$44,856	(US\$1,326)	(US\$897)	(US\$943)	US\$923	(US\$1,365)	US\$67,953	US\$686	US\$68,639
	For the period ended September 30, 2024										
Balances as of January 1, 2024	US\$17,633	US\$9,072	US\$40,473	(US\$1,124)	(US\$731)	(US\$943)	US\$1,012	(US\$1,365)	US\$64,027	US\$549	US\$64,576
Net income	–	–	2,853	–	–	–	–	–	2,853	53	2,906
Other comprehensive income (loss)	–	–	–	616	1	–	(111)	–	506	–	506
Total comprehensive income (loss)	–	–	2,853	616	1	–	(111)	–	3,359	53	3,412
Balances as of September 30, 2024	US\$17,633	US\$9,072	US\$43,326	(US\$508)	(US\$730)	(US\$943)	US\$901	(US\$1,365)	US\$67,386	US\$602	US\$67,988

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

IONICS, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Amounts in Thousands)

	2025		2024	
	July to September (3 months)	January to September (9 months)	July to September (3 months)	January to September (9 months)
CASH FLOWS FROM OPERATING ACTIVITIES				
Income before income tax	US\$1,478	US\$3,450	US\$1,275	US\$3,395
Adjustments for:				
Depreciation and amortization (Notes 11, 12, 15, 16, 17 and 20)	1,637	4,582	1,684	5,052
Finance costs (Note 18)	255	836	282	1,129
Share in net losses of associates (Note 10)	19	6	(28)	(1)
Movement in net pension liabilities	(42)	245	196	31
Interest income (Note 19)	(3)	(6)	—	(3)
Impairment loss on property and equipment	—	—	(122)	—
Dividend income	—	—	—	(5)
Operating income before working capital changes	3,344	9,113	3,286	9,598
Changes in working capital:				
Decrease (increase) in:				
Receivables	(3,219)	(6,861)	2,381	(2,168)
Contract assets	(2,018)	(1,912)	(797)	(1,011)
Inventories	(363)	234	5,744	(273)
Prepayments and other current assets	(108)	1	123	(93)
Advances to suppliers	301	403	(142)	(1,584)
Other noncurrent assets	(44)	(44)	—	—
Increase (decrease) in:				
Accounts payable and other liabilities	5,079	6,815	(4,180)	6,189
Contract liabilities	89	1,489	(98)	(668)
Other noncurrent liabilities	(6)	(211)	—	2
Net cash generated from operations	3,055	9,027	6,316	9,992
Interest received	5	6	—	2
Income taxes paid	(233)	(571)	(125)	(397)
Net cash provided by operating activities	2,827	8,462	6,191	9,598
CASH FLOWS FROM INVESTING ACTIVITIES				
Acquisitions of:				
Property and equipment (Notes 11 and 14)	(882)	(1,201)	(91)	(442)
Investment properties	(1,914)	(2,799)	(105)	(215)
Return of investment	—	—	—	1
Proceeds from sale of noncurrent assets held for sale	294	294	—	—
Net cash used in investing activities	(2,502)	(3,706)	(196)	(656)
CASH FLOWS FROM FINANCING ACTIVITIES				
Availments of (Note 3):				
Commercial loans	2,000	15,000	10,000	24,000
Bank loans	—	—	1	32
Payments of (Note 3):				
Commercial loans	(2,000)	(18,000)	(10,000)	(24,000)
Lease liabilities	(213)	(540)	(149)	(733)
Bank loans	(306)	(876)	(284)	(793)
Long-term debt	(378)	(1,110)	(348)	(1,022)
Interests	(217)	(808)	(382)	(1,248)
Cash dividends to stockholders	(92)	(1,311)	—	(2)
Net cash used in financing activities	(1,206)	(7,645)	(1,163)	(3,766)
NET INCREASE (DECREASE) IN CASH	(881)	(2,889)	4,833	5,176
CASH AT BEGINNING OF PERIOD	7,643	9,651	7,107	6,764
CASH AT END OF PERIOD (Note 5)	US\$6,762	US\$6,762	US\$11,940	US\$11,940

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

IONICS, INC. AND SUBSIDIARIES

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

(Amounts in Thousands, Except Earnings (loss) per Share)

1. Corporate Information

Ionics, Inc. (the Parent Company) is a domestic corporation incorporated under the laws of the Philippines and registered with the Securities and Exchange Commission (SEC) in September 1982. The Parent Company started commercial operations in July 1987 and engaged in electronic manufacturing services business. In September 1999, the Parent Company transferred its primary manufacturing business to a majority owned subsidiary, Ionics EMS, Inc. (EMS), which was subsequently listed in the Singapore Exchange Securities Trading Limited (Singapore Exchange). However, on March 2, 2010, the Parent Company and EMS jointly announced the proposed voluntary delisting of EMS from the Singapore Exchange. Consequently, the Parent Company's primary purpose was amended from a manufacturing company to a holding company.

The Parent Company is listed in the Philippine Stock Exchange.

The principal place of business and registered office address of the Group is Circuit Street, Light Industry and Science Park of the Philippines, Bo. Diezmo, Cabuyao City, Laguna.

The unaudited interim condensed consolidated financial statements were approved and authorized for issue by the Board of Directors (BOD) on November 11, 2025.

2. Summary of Significant Accounting Policies

Basis of Preparation

The unaudited interim condensed consolidated financial statements of the Group have been prepared in accordance with Philippine Accounting Standards (PAS) 34, *Interim Financial Reporting*.

The unaudited interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group's annual financial statements as of December 31, 2025.

The unaudited interim condensed consolidated financial statements are presented in United States (US) Dollar, which is also the Group's functional currency. All amounts are rounded to the nearest thousand US\$ (US\$000), except earnings (loss) per share or unless otherwise indicated.

The following are the wholly and majority-owned subsidiaries of the Parent Company as of September 30, 2025 and December 31, 2024:

Subsidiaries	Country of Incorporation	Principal Activity	Effective Percentage of Ownership
ICL	Cayman Islands	Investing	100%
IPI	Philippines	Leasing	100
Iomni	Philippines	Manufacturing	100
SI	Philippines	Manufacturing	100
IPSI	Philippines	Retailing	100
EMS	Philippines	Manufacturing	97
USA	United States of America	Manufacturing	97

New Standards, Interpretations and Amendments

The accounting policies adopted in the preparation of the Group's unaudited interim condensed consolidated financial statements are consistent with those of the Group's annual consolidated financial statements for the year ended December 31, 2024, except for the adoption of Amendments to PAS 21, *Lack of exchangeability*, which became effective January 1, 2025. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

3. Financial Risk Management Objectives and Policies

Risk management structure

All policy directions, business strategies and management initiatives emanate from the BOD. The BOD convenes in quarterly meetings and in addition, is available to meet in the interim should the need arises.

The Group has adopted internal guidelines setting forth matters that require BOD approval. Under the guidelines, all new investments, any increase in investment in business and subsidiary and any divestments require BOD approval.

The normal course of the Group's business exposes it to a variety of financial risks such as credit risk, liquidity risk and market risks which include foreign currency risk exposures.

The Group has various financial assets such as cash, receivables (excluding advances to managers and employees), financial assets at fair value through other comprehensive income (FVOCI) and refundable deposits (included under "Other noncurrent assets"). The Group's principal financial liabilities consist of accounts payable and other liabilities (excluding nonfinancial liabilities), bank loans and long-term debt, lease liabilities, and security deposits (included under "Other noncurrent liabilities"). The main purpose of these financial liabilities is to raise funds for the Group's operations. The Group's policies on managing the risks arising from the Group's financial instruments follow:

Credit Risk

Credit risk is the risk of loss resulting from the failure of a borrower or counterparty to perform its obligations during the life of the transaction. This includes the risk of non-payment by banks and customers, failed settlement of transactions and default on contracts. Management has a credit policy in place and the exposures to these credit risks are monitored on an ongoing basis. The Group's credit risk management involves entering into arrangements only with counterparties with acceptable credit standing and that are duly approved by the BOD. The Group does not hold any collateral from its customers thus, the carrying amounts of cash, receivables, financial assets at FVOCI and refundable deposits approximate the Group's maximum exposure to credit risk. No

other financial assets carry a significant exposure to credit risk.

Trade receivables, rent receivables, other receivables from customers and contract assets

The Group's trade receivables, rent receivables, other receivables from customers and contract assets are monitored on a regular basis. An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due of the customer with loss pattern. The calculation reflects the probability-weighted outcome and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information.

Generally, trade receivables, rent receivables, other receivables from customers and contract asset are written-off when deemed unrecoverable and are not subject to enforcement activity. The maximum credit exposure to credit risk at the reporting date is the carrying value of each class of financial assets.

Other financial assets

Credit risk from balances with banks and financial institutions is managed in accordance with the Group's policy. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. Counterparty limits are reviewed and approved by the BOD and are updated when necessary.

Cash are placed in various banks. Amounts are held by banks that have good reputation and low probability of insolvency. These are considered to be low credit risk investments.

Risk concentration of the maximum exposure to credit risk

An industry sector analysis of the Group's maximum exposure to credit risk is as follows:

	September 30, 2025	December 31, 2024
Consumer electronics	US\$15,945	US\$10,185
Telecommunications (Telecom)	13,322	10,129
Banks and financial intermediaries*	6,753	9,643
Computer peripherals	4,767	4,944
Real estate	554	542
Others**	769	1,030
Total	US\$42,110	US\$36,473

*Excludes cash on hand amounting US\$0.01 million as of September 30, 2025 and December 31, 2024.

**Excludes nonfinancial assets amounting to US\$0.12 million and US\$0.14 million as of September 30, 2025 and December 31, 2024, respectively. .

The Group has concentration of credit risk due to sales to significant customers. The Group's financial instruments are broadly diversified along industry, product and geographic lines, and transactions are entered into with a range of counterparties, thereby mitigating any significant concentration of credit risk.

The tables below summarize the credit quality of the Group's financial assets (gross of allowance for impairment losses):

September 30, 2025					
	Minimal Risk	Average Risk	High Risk	Credit Impaired	Total
Cash*	US\$6,753	US\$–	US\$–	US\$–	US\$6,753
Receivables					
Trade receivables	21,440	–	–	17	21,457
Other receivables from customers	3,016	–	–	1	3,017
Rent receivables	184	–	–	283	467
Advances to managers	80	–	–	–	80
SSS claims receivables	23	–	–	–	23
Others	556	–	–	16	572
Contract assets	9,741	–	–	–	9,741
Other noncurrent assets					
Refundable deposits	597	–	–	–	597
	US\$42,390	US\$–	US\$–	US\$317	US\$42,707

*Excludes cash on hand amounting to US\$0.01 million.

December 31, 2024					
	Minimal Risk	Average Risk	High Risk	Credit-Impaired	Total
Cash*	US\$9,643	US\$–	US\$–	US\$–	US\$9,643
Receivables					
Trade receivables	14,742	–	–	18	14,759
Other receivables from customers	2,973	–	–	–	2,973
Rent receivables	542	–	–	–	542
Advances to managers	107	–	–	–	107
SSS claims receivables	18	–	–	3	21
Others	113	–	–	–	113
Contract assets	7,829	–	–	–	7,829
Other noncurrent assets					
Refundable deposits	553	–	–	–	553
	US\$36,519	US\$–	US\$–	US\$21	US\$36,540

*Excludes cash on hand amounting to US\$0.008 million.

The Group classifies credit quality risk as follows:

Minimal risk - accounts with a high degree of certainty in collection, where counterparties have consistently displayed prompt settlement practices, and have little to no instance of defaults or discrepancies in payment.

Average risk - active accounts with minimal to regular instances of payment default, due to ordinary/common collection issues, but where the likelihood of collection is still moderate to high as the counterparties are generally responsive to credit actions initiated by the Group.

High risk - accounts with a low probability of collection and can be considered impaired based on historical experience, where counterparties exhibit a recurring tendency to default despite constant reminder and communication, or even extended payment terms.

The Group maintains cash with various financial institutions that management believes to be of high credit quality. The Group's policy is to invest with financial institutions from which it has outstanding loans and loan facilities.

The following tables below summarize the staging considerations (other than trade receivables, other receivables from customers and contract assets subject to provision matrix) of the Group's financial assets as at:

September 30, 2025				
	Stage 1 (12-month ECL)	Stage 2 (Lifetime ECL)	Stage 3 (Credit-impaired)	Total
Cash*	US\$6,753	US\$–	US\$–	US\$6,753
Receivables				
Rent receivables	184	–	283	467
Advances to managers	80	–	–	80
SSS claims receivables	23	–	–	23
Others	556	–	16	572
Other noncurrent assets				
Refundable deposits	597	–	–	597
Total	US\$8,193	US\$–	US\$299	US\$8,492

*Excludes cash on hand amounting to US\$0.009 million

December 31, 2024				
	Stage 1 (12-month ECL)	Stage 2 (Lifetime ECL)	Stage 3 (Credit-impaired)	Total
Cash*	US\$9,643	US\$–	US\$–	US\$9,643
Receivables				
Rent receivables	542	–	–	542
Advances to managers	107	–	–	107
SSS claims receivables	18	–	3	21
Others	113	–	–	113
Other noncurrent assets				
Refundable deposits	553	–	–	553
Total	US\$10,976	US\$–	US\$3	US\$10,979

*Excludes cash on hand amounting to US\$0.008 million.

Set out below is the information about the credit risk exposure on trade receivables, other receivables from customers and contract assets using a provision matrix as at:

September 30, 2025:

Trade receivables									
		Days past due							Total
	Contract Assets	Current	<30 days	30-60 days	61-90 days	91-120 days	121-150 days	>150 days	
Expected credit loss rate	0%	0%	0%	0%	0%	0%	0%	0%	
Estimated total gross carrying amount at default	US\$9,741	US\$13,504	US\$5,748	US\$1,704	US\$442	US\$59	US\$–	US\$–	US\$21,457
	–	–	–	–	–	–	–	–	–
Other receivables from customers									
Expected credit loss rate		0%	0%	0%	0%	0%	0%	0%	
Estimated total gross carrying amount at default		2,324	419	157	115	–	–	–	3,016
		–	–	–	–	–	–	–	–
Total expected credit loss		US\$–	US\$–	US\$–	US\$–	US\$–	US\$–	US\$–	US\$–

December 31, 2024:

December 31, 2021

		Trade receivables							
		Days past due							
	Contract Assets	Current	<30 days	30-60 days	61-90 days	91-120 days	121-150 days	>150 days	Total
Expected credit loss rate	0%	0%	0%	0%	0%	0%	0%	0%	
Estimated total gross carrying amount at default	US\$7,829	US\$10,680	US\$2,774	US\$832	US\$351	US\$–	US\$–	US\$122	US\$14,759
	–	–	–	–	–	–	–	–	–
		Other receivables from customers							
Expected credit loss rate		0%	0%	0%	0%	0%	0%	0%	
Estimated total gross carrying amount at default		2,720	241	10	1	–	–	1	2,973
		–	–	–	–	–	–	–	–
Total expected credit loss		US\$–	US\$–	US\$–	US\$–	US\$–	US\$–	US\$–	US\$–

Liquidity Risk

Liquidity risk is the risk of not being able to meet funding obligations such as the repayment of liabilities or payment of asset purchases. Short-term funding is obtained to finance cash requirements for operations and capital expenditures. Amount of credit lines are obtained from designated banks duly approved by the BOD. Surplus funds are placed with reputable banks to which the Group has outstanding loans and loan facilities. The Group's policy is to regularly monitor its liquidity requirements and its compliance with lending covenants, to ensure that it maintains sufficient reserves of cash and highly liquid marketable securities and adequate committed lines of funding from major financial institutions to meet the short and longer-term liquidity requirements of the Group.

The tables below show the maturity profile of the financial assets and liabilities, based on its internal methodology that manages liquidity based on remaining contractual maturities as at:

	September 30, 2025					
	On demand	Less than 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Financial assets						
Cash	US\$6,762	US\$–	US\$–	US\$–	US\$–	US\$6,762
Receivables ¹	9,438	15,861	–	–	–	25,299
Refundable deposits ²	–	–	–	597	–	597
	16,200	15,861	–	597	–	32,658
Financial liabilities						
Accounts payable and other liabilities ³	23,604	153	–	–	–	23,757
Bank loans and long-term debt ⁴	–	10,693	431	5,590	–	16,714
Lease liabilities ⁵	–	172	432	783	–	1,387
Security deposits ⁶	–	–	–	493	–	493
	23,604	11,018	863	6,866	–	42,351
Liquidity gap	(US\$7,404)	US\$4,843	(US\$863)	(US\$6,269)	US\$–	(US\$9,693)

¹Excludes nonfinancial assets amounting to US\$0.12 million

²Included under noncurrent assets

³Excludes nonfinancial liabilities amounting to US\$0.42 million

⁴Including future interest payable amounting to US\$0.32 million

⁵Including future interest payable amounting to US\$0.12 million

⁶Included under other noncurrent liabilities

	December 31, 2024					Total
	On demand	Less than 3 months	3 to 12 months	1 to 5 years	More than 5 years	
Financial assets						
Cash	US\$9,651	US\$—	US\$—	US\$—	US\$—	US\$9,651
Receivables ¹	5,456	13,370	5	—	—	18,831
Refundable deposits ²	—	—	—	553	—	553
	15,107	13,370	5	553	—	29,035
Financial liabilities						
Accounts payable and other liabilities ³	5,471	11,558	—	—	—	17,029
Bank loans and long-term debt ⁴	—	7,073	8,173	5,782	—	21,732
Lease liabilities ⁵	—	193	505	502	—	1,200
Security deposits ⁶	—	—	—	635	—	635
	5,471	19,458	7,834	8,020	—	40,783
Liquidity gap	US\$9,106	(US\$5,926)	(US\$7,800)	(US\$7,603)	US\$—	(US\$12,223)

¹Excludes nonfinancial assets amounting to US\$0.085 million

²Included under noncurrent assets

³Excludes nonfinancial liabilities amounting to US\$0.338 million

⁴Including future interest payable amounting to US\$2.006 million

⁵Including future interest payable amounting to US\$0.233 million

⁶Included under accounts payable and other liabilities and other noncurrent liabilities

In order to manage the liquidity gap, the Group has various sources of financing, either through support of related parties or availment of bank credit lines. The Group finances its cash requirements by obtaining advances from the Ultimate Parent Company and its affiliates.

The Group will apply for additional credit lines as the need arises.

Market Risk

Market risk is the risk of loss to future earnings, to fair value or future cash flows of a financial instrument as a result of changes in its price, caused by changes in interest rates, equity prices and foreign currency exchange rates and other market factors.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group is exposed to currency risk primarily through purchases that are denominated in a currency other than the functional currency of the Group. The currency giving rise to this risk is primarily the Philippine Peso (₱). It is the Group's policy not to trade in derivative contracts. In addition, the Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits in the type of business in which the Group is engaged.

The table below details the Group's exposure at the reporting date to currency risk arising from forecasted transactions or recognized assets or liabilities denominated in a currency other than the functional currency of the Group.

Philippine Peso

	September 30, 2025		December 31, 2024	
	In US Dollar	In Philippine Peso	In US Dollar	In Philippine Peso
Cash	US\$621	₱36,158	US\$1,326	₱76,715
Receivables	729	42,414	1,143	66,088
Financial assets at FVOCI	651	37,889	648	37,471
Refundable deposits	361	21,003	337	19,489
	2,362	137,464	3,454	199,763
Less accounts payable and other liabilities	8,190	476,622	4,566	264,131
Net exposure arising from recognized assets and liabilities	(US\$5,828)	(₱339,158)	(US\$1,112)	(₱64,368)

The exchange rates used to restate the Group's foreign currency-denominated assets and liabilities follow:

Currency	Source	September 30, 2025	December 31, 2024
Philippine Peso	Bankers Association of the Philippines (BAP) closing rate	US\$0.017183	US\$0.017288

Sensitivity analysis

The following table indicates the approximate change in the Group's income before income tax in response to reasonably possible changes in the foreign exchange rates to which the Group has significant exposure at the reporting date:

Increase (decrease) from year-end exchange rates	2025		2024	
Changes in foreign currency exchange rates	0.60%	(0.60%)	4.28%	(4.28%)
Effect on income (loss) before tax	(US\$35)	US\$35	(US\$48)	US\$48

Other than the potential impact on income (loss) before income tax, there is no significant effect on equity.

The sensitivity analysis has been determined assuming that the change in foreign currency exchange rates has occurred at the reporting date and has been applied to each of the Group entities' exposure to currency risk for financial instruments in existence at that date, and that all other variables, in particular interest rates, remain constant. The Group does not expect the impact of the volatility on other currencies to be material.

The stated changes represent management's assessment of reasonably possible changes in foreign currency exchange rates over the period until the next annual reporting date. Results of the analysis as presented in the above table represent an aggregation of the effects on each of the entities' income before tax measured in the respective functional currencies, translated into US Dollars at the exchange rate ruling at the reporting date for presentation purposes.

Changes in liabilities arising from financing activities:

September 30, 2025							
	Long-term Debt (Note 14)	Bank Loan (Note 14)	Commercial Loan (Note 14)	Lease Liabilities (Note 20)	Accrued Interest (Note 13)	Dividends Payable	Total
Balances at beginning of year	US\$1,890	US\$6,490	US\$13,000	US\$1,107	US\$53	US\$121	US\$22,661
Non-cash flows activities:							
Additions	—	—	—	700	—	—	700
Dividends declared	—	—	—	—	—	1,463	1,463
Accretion of interest (Note 20)	—	—	—	65	782	—	847
Cash flows activities:							
Availments	—	—	15,000	—	—	—	15,000
Payments of principal	(1,110)	(876)	(18,000)	(540)	—	—	(20,526)
Payment of interest	—	—	—	(65)	(808)	—	(873)
Payment of dividends	—	—	—	—	—	(1,311)	(1,311)
Dividend revaluation	—	—	—	—	—	(23)	(23)
Balances at end of year:	US\$780	US\$5,614	US\$10,000	US\$1,267	US\$27	US\$250	US\$17,938

December 31, 2024							
	Long-term Debt (Note 14)	Bank Loan (Note 14)	Commercial Loan (Note 14)	Lease Liabilities (Note 20)	Accrued Interest (Note 13)	Dividends Payable	Total
Balances at beginning of year	US\$3,267	US\$7,480	US\$13,000	US\$2,047	US\$79	US\$127	US\$26,000
Non-cash flows activities:							
Availments	—	—	—	—	—	—	—
Accretion of interest (Note 20)	—	—	—	123	1,471	—	1,594
Dividends declared	—	—	—	—	—	—	—
Cash flows activities:							
Availments	—	39	37,000	—	—	—	37,039
Payments of principal	(1,377)	(1,029)	(37,000)	(940)	—	—	(40,346)
Payment of interest	—	—	—	(123)	(1,497)	—	(1,620)
Dividend paid	—	—	—	—	—	(6)	(6)
Balances at end of year:	US\$1,890	US\$6,490	US\$13,000	US\$1,107	US\$53	US\$121	US\$22,661

4. Capital Management

The Group's primary objective in managing capital is to provide returns for shareholders and benefits for other stakeholders, by pricing products and services commensurately with the level of risk and by securing access to finance at a reasonable cost.

The Group monitors capital using a leverage ratio, which is net debt divided by the sum of total equity and net debt. Net debt includes bank loans and lease liabilities and accounts payable and other liabilities less cash. The Group's policy is for its leverage ratio not to exceed 75%. The management continues to monitor and improve on areas of customers' terms to adhere with the policy of leverage ratio.

The leverage ratio as of September 30, 2025 and December 31, 2024:

	September 30, 2025	December 31, 2024
Current liabilities		
Accounts payable and other liabilities*	US\$23,757	US\$16,982
Current portion of bank loans and long-term debt	11,941	15,598
Current portion of lease liabilities	532	637
Dividend payable	250	121
	36,480	33,338
Noncurrent liabilities		
Security deposits**	493	635
Bank loans and long-term debt - net of current portion	4,453	5,782
Lease liabilities - net of current portion	735	470
	5,681	6,887
Total debt	US\$42,161	US\$40,225
Less cash	6,762	9,651
Net debt	35,399	30,574
Equity	68,635	67,185
Total equity and net debt	US\$104,034	US\$97,759
Leverage ratio	34.03:1	31.27:1

*Excluding nonfinancial liabilities amounting to US\$0.42 million and US\$0.323 million as of September 30, 2025 and December 31, 2024, respectively.

** Included under other noncurrent liabilities.

5. Cash

This account consists of:

	September 30, 2025	December 31, 2024
Cash on hand	US\$9	US\$8
Cash in banks	6,753	9,643
	US\$6,762	US\$9,651

6. Receivables

This account consists of:

	September 30, 2025	December 31, 2024
Trade receivables	US\$21,457	US\$14,759
Other receivables from customers	3,017	2,973
Rent receivables	467	542
Advances to managers	80	107
Advances to employees	118	61
SSS claims receivables	23	21
Others	572	113
	25,734	18,576
Less allowance for impairment losses	317	20
	US\$25,417	US\$18,556

Trade receivables, other receivables from customers and others are noninterest-bearing and normally collected within 30-180 days credit term.

Below is the movement of the allowance for impairment losses as of September 30, 2025 and December 31, 2024 based on individual impairment (nil for collective impairment):

	Lifetime-ECL credit impaired			
	September 30, 2025			
	Trade receivables	Other receivables from customers	Others	Total
Balances at beginning of period	US\$17	US\$1	US\$2	US\$20
Provision for impairment loss	–	–	297	297
Balances at end of period	US\$17	US\$1	US\$299	US\$317

7. Contract Balances

This account consists of:

	September 30, 2025	December 31, 2024
Contract assets	US\$9,741	US\$7,829
Contract liabilities	6,607	5,118

Contract assets are initially recognized for revenue earned from manufacturing of goods as receipt of consideration is conditional on successful completion of the services. When goods are shipped or goods are received by the customer, depending on the corresponding agreement with the customers, the amounts recognized as contract assets are reclassified to trade receivables. Payments are normally received from customers depending on the credit terms.

For the nine months period ended September 30, 2025 and for the year ended December 31, 2024, the Group assessed that there are no expected credit losses on contract assets.

Contract liabilities include short-term advances received for advance ordering of materials and customer advances for aging inventories as part of the buy-back agreement.

The Group applied the practical expedient under PFRS 15 on the disclosure of information about the transaction price allocated to remaining performance obligations given the customer contracts have original expected duration of one (1) year or less.

8. Inventories

This account consists of:

	September 30, 2025	December 31, 2024
At NRV:		
Raw materials	US\$32,251	US\$32,354
Spare parts and supplies	992	1,123
	US\$33,243	US\$33,477

The Group recognizes a write-down whenever the NRV of inventories is lower than its cost. The related cost of inventories at NRV amounted US\$33.24 million and US\$33.48 million as of September 30, 2025 and December 31, 2024, respectively.

The raw materials and supplies used in the operations amounted to US\$56.58 million and US\$51.14 million for the nine months period ended September 30, 2025 and 2024, respectively (see Note 15).

9. Financial Assets at FVOCI

This account consists of:

	September 30, 2025	December 31, 2024
Quoted	US\$19	US\$19
Unquoted		
Beginning balance	2,733	2,987
Fair value gain (loss)	9	(254)
Ending balance	2,742	2,733
	US\$2,761	US\$2,752

The Group's investments at FVOCI include investment listed in US NASDAQ stock market, investments in golf/club shares and other non-listed companies which are not held for trading and which the Group has irrevocably designated at FVOCI.

The movements in net unrealized losses on financial assets at FVOCI (net of tax) follows:

	September 30, 2025	December 31, 2024
Beginning balance	(US\$1,331)	(US\$1,124)
Fair value gain (loss)	5	(207)
Ending balance	(US\$1,326)	(US\$1,331)

10. Investments in Associates

The composition of and movements in this account follow:

	September 30, 2025	December 31, 2024
Acquisition cost		
Balance at beginning and end of period	US\$518	US\$518
Accumulated equity in net earnings		
Balance at beginning of period	268	246
Share in net losses	6	16
Share in other comprehensive income	–	6
Balance at end of period	274	268
Equity in cumulative translation adjustment		
Balance at the beginning of period	(126)	(115)
Exchange differences	15	(11)
Balance at end of period	(111)	(126)
Net book value	US\$681	US\$660

11. Property, Plant and Equipment and Noncurrent Asset Held for Sale

The composition of and movements in this account follow:

	September 30, 2025								
	Land	Machinery and Equipment	Building, Improvements and Leasehold	Tools and Other Equipment	Plant Water and Airconditioning Systems	Furniture, Fixtures and Equipment	Transportation Equipment	Construction in Progress	Total
Cost									
Balances at January 1	US\$2,546	US\$50,025	US\$8,489	US\$11,201	US\$2,392	US\$126	US\$429	US\$–	US\$75,208
Additions	–	102	24	407	6	2	–	554	1,095
Disposals/retirements	–	(135)	(1)	(64)	–	–	–	–	(200)
Balances at September 30	2,546	49,992	8,512	11,544	2,398	128	429	554	76,103
Accumulated Depreciation and Amortization and Impairment Loss									
Balances at January 1	–	35,001	7,434	9,317	2,038	123	291	–	54,204
Depreciation and amortization (Notes 15 and 17)	–	2,452	199	577	119	1	35	–	3,383
Transfer	–	1	–	(1)	–	3	–	–	3
Disposals/retirements	–	(132)	(1)	(61)	–	–	–	–	(194)
Balances at September 30	–	37,322	7,632	9,832	2,157	127	326	–	57,396
Net Book Values	US\$2,546	US\$12,670	US\$880	US\$1,712	US\$241	US\$1	US\$103	US\$554	US\$18,707

December 31, 2024								
	Land	Machineries and Equipment	Building, Building Improvements and Leasehold Improvements	Tools and Other Equipment	Air-conditioning Systems	Furniture, Fixtures and Equipment	Transportation Equipment	Total
Cost								
Balances at beginning of year	US\$2,546	US\$53,913	US\$10,549	US\$10,862	US\$2,298	US\$272	US\$463	US\$80,903
Additions	–	134	114	413	55	4	23	743
Retirement	–	(8)	(62)	(77)	(33)	–	–	(180)
Transfer	–	34	(109)	3	72	–	–	–
Impairment	–	(3,583)	(2,003)	–	–	(150)	(57)	(5,793)
Transfer to asset held for sale	–	(465)	–	–	–	–	–	(465)
Balances at end of year	2,546	50,025	8,489	11,201	2,392	126	429	75,208
Accumulated depreciation and amortization								
Balances at beginning of year	–	34,205	9,374	8,505	1,840	272	302	54,498
Depreciation and amortization	–	3,528	182	888	193	1	46	4,838
Retirement	–	(8)	(62)	(77)	(33)	–	–	(180)
Transfer	–	21	(60)	1	38	–	–	–
Impairment	–	(2,745)	(2,000)	–	–	(150)	(57)	(4,952)
Balances at end of year	–	35,001	7,434	9,317	2,038	123	291	54,204
Net book values	US\$2,546	US\$15,024	US\$1,055	US\$1,884	US\$354	US\$3	US\$138	US\$21,004

The Group has no unpaid acquisition of property, plant and equipment as of September 30, 2025 and December 31, 2024.

12. Investment Properties

The composition of and movements in this account follow:

September 30, 2025					
	Land	Building	Building Improvements	Construction in Progress	Total
Cost					
Balances at January 1	US\$7,330	US\$14,978	US\$4,788	US\$–	US\$27,096
Additions	–	–	948	1,851	2,799
Balances at September 30	7,330	14,978	5,736	1,851	29,895
Accumulated Depreciation and Amortization					
Balances at January 1	–	4,805	4,311	–	9,116
Depreciation and amortization (Note 16)	–	388	224	–	612
Balances at September 30	–	5,193	4,535	–	9,728
Exchange Reserves	–	–	–	–	–
Net Book Values	US\$7,330	US\$9,785	US\$1,201	US\$1,851	US\$20,167

	December 31, 2024			
	Land	Building	Improvements	Total
Cost				
Balances at beginning of year	US\$7,274	US\$15,247	US\$4,539	US\$27,060
Additions	62	—	249	311
Adjustment	—	(269)	—	(269)
Balances at end of year	7,336	14,978	4,788	27,102
Accumulated Depreciation and Amortization				
Balances at beginning of year	—	4,305	4,073	8,378
Depreciation and amortization	—	527	238	765
Adjustment	—	(27)	—	(27)
Balances at end of year	—	4,805	4,311	9,116
Exchange Reserves	(6)	—	—	(6)
Net Book Values	US\$7,330	US\$10,173	US\$477	US\$17,980

13. Accounts Payable and Other Liabilities

This account consists of:

	September 30, 2025	December 31, 2024
Trade payables	US\$18,482	US\$12,194
Accrued expenses	3,939	3,828
Non-trade payables	1,321	974
Unearned rent income	597	667
Security deposit	493	635
Others	435	365
	25,267	18,663
Less noncurrent portion of unearned rent and security deposits*	1,090	1,301
	US\$24,177	US\$17,362

*Included under other noncurrent liabilities.

Accrued expenses consist of:

	September 30, 2025	December 31, 2024
Accrued salaries, wages and other benefits	US\$1,212	US\$462
Accrued sales commission	900	1,360
Accrued professional fees	483	491
Accrued handling charges	448	451
Accrued utilities	370	394
Accrued interest expense	27	54
Accrued rent	22	17
Accrued taxes	13	13
Accrued direct materials	—	26
Accrued contract labor	—	114
Accrued medical and dental expense	—	141
Others	464	305
	US\$ 3,939	US\$3,828

Other payables mainly include withholding taxes and statutory payables to government which are normally settled within a year.

14. Bank Loans and Long-term Debt

This account consists of:

	September 30, 2025	December 31, 2024
Long-term debt		
Current	US\$780	US\$1,496
Noncurrent	–	394
Bank loans		
Current	1,161	1,102
Noncurrent	4,453	5,388
Commercial loans		
Current	10,000	13,000
	US\$16,394	US\$21,380
Current	US\$11,941	US\$15,598
Noncurrent	4,453	5,782
	US\$16,394	US\$21,380

The Group entered into short-term and long-term loan arrangements with domestic and foreign financial institutions for its various working capital and capital expenditure requirements.

Long-term debt:

- In February 2023, IEMS entered into three (3)-year financing agreements with a supplier with contract prices amounting to US\$4.70 million, accounted as property and equipment, which are subject to 2.11% quarterly interest and will mature on January 31, 2026, respectively. The financing agreements are secured by a chattel mortgage over machineries and equipment of the IEMS located at its premises (see Note 10). IEMS made payments in relation to these financing agreements amounting to US\$3.54 million. As of September 30, 2025, the carrying values of the outstanding long-term debt relating to this agreement amounted to US\$0.78 million.

Bank Loan:

- In 2024, the IEMS entered into credit loan agreements with local banks for the bank loan fleet financing of certain employees with payment terms ranging from three (3) to five (5) years amounting to US\$0.03 million. These loans are subject to monthly interest rates ranging from 0.67% to 0.79% in 2024. As of September 30, 2025 and December 31, 2024, the outstanding balance of these bank loans amounted to US\$0.06 million and US\$0.11 million, respectively.
- In 2020, IPI entered into a secured term loan agreement aggregating to US\$8.00 million with a term of 10 years (inclusive of the two (2)-year grace period on the principal payment) for the construction of a two (2)-storey build-to-suit production facility to be leased out to its existing third-party lessee (see Note 12). This loan is subject to 3.75% interest for the first five (5) years and for the next five (5) years, interest shall be repriced annually at 12-month LIBOR plus 2.75% spread inclusive of the 10% FCDU withholding tax. The term loan is secured by a real estate mortgage over the land which said build-to-suit production facility is being constructed.

- On December 29, 2020, IPI made its first drawdown amounting to US\$1.53 million, net of transaction costs amounting to US\$0.07 million. On June 2 and March 8, 2021, IPI made additional drawdowns amounting to US\$1.60 million and US\$2.00 million, respectively. On May 20, 2022, IPI made final drawdown amounting US\$0.80 million. These are subject to amortization, payable monthly.

Commercial loans:

- In 2025, IEMS made a drawdown for a four (4)-month short term loan with interest rates ranging from 6.30% to 6.33% amounting to US\$3.00 million on February 14, 2025, US\$2.00 million on March 07, 2025, June 23, 2025, and July 18, 2025. Out of US\$9.00 million drawdowns, IEMS already paid US\$5.00 million. The remaining outstanding balance of US\$4.00 million will mature on October 21, 2025 and November 14, 2025.
- In 2025, IEMS made a drawdown for a six (6)-month short term loan with interest rates ranging from 6.55% to 6.59% amounting to US\$2.00 million each on April 28, 2025, May 15, 2025 and June 24, 2025 will mature on October 24, 2025, November 11, 2025 and December 22, 2025.
- In 2024, IEMS made a drawdown for a four (4)-month short term loan with interest rates ranging from 6.50% to 7.87% amounting to US\$2.00 million on January 31, 2024, US\$5.00 million on February 28, 2024, US\$4.00 million each on April 02, 2024, July 18, 2024 and November 19, 2024, US\$3.00 million each on June 25, 2024 and October 31, 2024. Out of the US\$25.00 million drawdowns, IEMS already paid in full.
- In 2024, IEMS made a drawdown for a six (6)-month short term loan with interest rates ranging from 6.59% to 7.50% amounting to US\$2.00 million each on April 11, 2024, May 14, 2024, June 18, 2024, October 11, 2024, November 12, 2024 and December 16, 2024. Out of the US\$12.00 million drawdowns, IEMS already paid in full.

There are no debt covenants related to these loans.

15. Cost of Sales

This account consists of:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Raw materials and supplies used (Note 8)	US\$56,576	US\$51,136
Salaries, wages, and benefits	12,334	11,883
Depreciation and amortization (Notes 11 and 20)	3,780	4,020
Occupancy cost and utilities	3,186	3,076
Handling and freight charges	1,027	854
Impairment loss	—	122
Other expenses	268	622
	US\$77,171	US\$71,713

16. Cost of Rental Services

This account consists of:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Depreciation (Notes 12 and 20)	US\$711	US\$600
Taxes and licenses	10	15
Other expenses	16	6
	US\$737	US\$621

17. Operating Expenses

This account consists of:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
General and administrative expenses	US\$2,020	US\$1,756
Selling expenses	2,201	1,864
	US\$4,221	US\$3,620

General and administrative expenses consist of the following:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Salaries and benefits	US\$1,011	US\$963
Professional fees	240	180
Occupancy cost and utilities	190	162
Impairment loss	154	–
Management bonus	141	128
Depreciation (Notes 11 and 20)	75	114
Insurance	51	50
Repairs & Maintenance	30	17
Taxes and licenses	21	23
Security guard services	10	16
Other expense	97	65
Miscellaneous	–	38
	US\$2,020	US\$1,756

Selling expenses consist of the following:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Sales commission and agent's professional fee	US\$1,766	US\$1,415
Salaries and benefits	283	277
Depreciation and amortization (Notes 11 and 20)	16	15
Other expenses	74	83
Occupancy cost and utilities	62	74
	US\$2,201	US\$1,864

18. Finance Costs

This account consists of

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Interest on:		
Bank loans (Note 14)	US\$700	US\$990
Long-term debt (Note 14)	81	179
Lease liabilities (Notes 20)	55	96
	US\$836	US\$1,265

19. Others - Net

This account consists of:

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
Sale of scrap	US\$80	US\$-
Interest income (expense) - net	8	6
Miscellaneous	6	2
Foreign currency exchange loss - net	(82)	(3)
Bank charges	(64)	(66)
Recoveries of impairment losses (Note 6)	-	166
Dividend income	-	6
Other income	4	-
	(US\$48)	US\$111

20. Leases

The movements in right-of-use assets follow:

	September 30, 2025	December 31, 2024
Cost		
Balances as at beginning of period	US\$4,028	US\$4,207
Additions	700	–
Termination of contract	–	(128)
Remeasurements	–	(51)
Balances as at end of period	4,728	4,028
Accumulated Depreciation		
Balances as at beginning of period	3,022	2,290
Depreciation (Notes 15, 16, and 17)	509	732
Balances as at end of period	3,531	3,022
Net Book Values	US\$1,197	US\$1,006

The rollforward analysis of lease liabilities follow:

	September 30, 2025	December 31, 2024
Balance at beginning of period	US\$1,107	US\$2,047
Availment	700	–
Accretion of interests (Note 18)	65	123
Payment of principal	(540)	(940)
Payment of interests	(65)	(123)
Balance at end of period	US\$1,267	US\$1,107
Current	US\$532	US\$637
Noncurrent	735	470
	US\$1,267	US\$1,107

In 2021, the Group entered into a lease agreement with a third-party lessor covering office, factory and warehouse building for a period of five (5) years commencing May 1, 2021 and ending April 30, 2026 at a rate subject to 5% annual escalation. The lease agreement terminated on June 30, 2024.

In 2022, EMS entered into another three (3) years lease agreement for office factory warehouse from another third-party starting September 01, 2022 to August 31, 2025.

In 2022, EMS entered into another five (5) year lease agreement for 5,331.36 sqm. office factory warehouse starting September 15, 2022 and will expire on September 14, 2027, and may be extended or renewed upon mutual agreement of the parties.

21. Earnings Per Share

The basis of income per share calculations attributable to the equity holders of the Parent Company follows (amounts in thousands, except earnings per share):

	September 30, 2025 (9 months)	September 30, 2024 (9 months)
a. Net income attributable to equity holders of the Parent Company	US\$2,836	US\$2,853
b. Weighted average number of outstanding common shares	823,072	823,072
c. Basic earnings per share (a/b)	US\$0.003446	US\$0.003466

There were no potential dilutive shares in 2025 and 2024.

22. Segment Information

The primary segment reporting format of the Group is by business segments as the Group's risks and rates of return are affected predominantly by differences in the goods produced. Secondary information is reported geographically. The operating businesses are organized and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets.

The revenues from major customer under the telecom sector amounted to US\$20.48 million and US\$18.34 million for the nine months period ended September 30, 2025 and 2024, respectively. Total revenues from these customers are exceeding approximately at 24% of the Group's total revenue from contracts with customers for the nine months period ended September 30, 2025 and 2024, respectively

The analysis of the Group's segments by product line follows:

	September 30, 2025 (9 months)						Adjustments and Eliminations	Total
	Computer Peripherals	Telecom	Automotive	Consumer Electronics	Real Estate	Others		
Sales (external customers)	US\$14,946	US\$31,792	US\$267	US\$37,884	US\$-	US\$181	(US\$307)	US\$84,763
Rental income	US\$-	US\$92	US\$-	US\$-	US\$2,205	US\$534	(US\$1,137)	US\$1,694
Income (loss) from operations	US\$1,268	(US\$912)	(US\$58)	US\$2,813	US\$1,313	(US\$202)	US\$112	US\$4,334
Foreign exchange gain - net	12	(24)	(1)	(41)	(7)	(20)	-	(81)
Income tax	(193)	(79)	(3)	(190)	(70)	(13)	-	(548)
Dividend income	-	-	-	-	25	1,500	(1,525)	-
Share in net earnings of associates - net	-	-	-	-	-	-	6	6
Interest - net	(95)	(294)	(2)	(271)	(172)	(2)	-	(836)
Noncontrolling interests	-	-	-	-	-	-	(66)	(66)
Miscellaneous - net	(11)	(20)	1	(22)	-	79	-	27
Net income (loss)	US\$981	(US\$1,329)	(US\$63)	US\$2,289	US\$1,089	US\$1,342	(US\$1,473)	US\$2,836
Identifiable assets	US\$14,652	US\$29,921	US\$-	US\$38,909	US\$28,306	US\$41,387	(US\$41,984)	US\$111,191
Unallocated assets	-	-	-	-	-	11,412	-	11,412
Total assets	US\$14,652	US\$29,921	US\$-	US\$38,909	US\$28,306	US\$52,799	(US\$41,984)	US\$122,603
Identifiable liabilities	US\$513	US\$6,617	US\$-	US\$8,115	US\$7,331	US\$31,238	(US\$37,667)	US\$16,147
Unallocated liabilities	-	-	-	-	-	57,904	(20,087)	37,817
Total liabilities	US\$513	US\$6,617	US\$-	US\$8,115	US\$7,331	US\$89,146	(US\$57,754)	US\$53,964
Capital expenditures	US\$126	US\$83	US\$-	US\$75	US\$2,797	US\$587	US\$-	US\$3,668
Depreciation and amortization	US\$2,145	US\$949	US\$-	US\$555	US\$605	US\$328	US\$-	US\$4,582

September 30, 2024 (9 months)								
	Computer Peripherals	Telecom	Automotive	Consumer Electronics	Real Estate	Others	Adjustments and Eliminations	Total
Sales (external customers)	US\$17,877	US\$28,660	US\$250	US\$31,549	US\$–	US\$624	(US\$614)	US\$78,346
Rental income	US\$–	US\$92	US\$–	US\$–	US\$2,642	US\$508	(US\$1,084)	US\$2,158
Income (loss) from operations	US\$2,260	(US\$660)	(US\$223)	US\$1,288	US\$1,964	(US\$400)	US\$331	US\$4,560
Foreign exchange gain - net	13	(9)	(6)	(12)	6	9	–	1
Income tax	(202)	(44)	–	(130)	(102)	(11)	–	(489)
Share in net earnings of associates - net	–	–	–	–	–	(8)	7	(1)
Interest - net	(233)	(379)	(4)	(449)	(212)	(11)	23	(1,265)
Noncontrolling interests	–	–	–	–	–	–	(53)	(53)
Miscellaneous – net	(9)	(18)	–	(17)	–	144	–	100
Net income (loss)	US\$1,829	(US\$1,110)	(US\$233)	US\$680	US\$1,656	(US\$277)	US\$308	US\$2,853
Identifiable assets	US\$18,381	US\$30,252	US\$555	US\$36,155	US\$29,691	US\$43,595	(US\$42,002)	US\$116,627
Unallocated assets	–	–	–	–	–	11,943	–	11,943
Total assets	US\$18,381	US\$30,252	US\$555	US\$36,155	US\$29,691	US\$55,538	(US\$42,002)	US\$128,570
Identifiable liabilities	US\$724	US\$1,470	US\$15	US\$2,425	US\$8,670	US\$31,142	(US\$18,770)	US\$25,676
Unallocated liabilities	–	–	–	–	–	55,105	(20,087)	35,018
Total liabilities	US\$724	US\$1,470	US\$15	US\$2,425	US\$8,670	US\$86,247	(US\$38,857)	US\$60,694
Capital expenditures	US\$171	US\$141	US\$–	US\$96	US\$203	US\$46	US\$–	US\$657
Depreciation and amortization	US\$2,113	US\$986	US\$–	US\$630	US\$590	US\$430	US\$–	US\$5,052

The Group's geographical segments are based on the location of the Group's assets. Sales to external customers disclosed in the geographical segments are based on the geographical location of its customers.

The following tables represent the Group's total revenue and certain assets based on the Group's geographical segment:

Segment Revenue

	September 30, 2025	September 30, 2024
Asia	US\$82,939	US\$76,309
North America	2,684	2,391
Europe	834	1,804
	US\$86,457	US\$80,504

Segment Assets

	September 30, 2025	September 30, 2024
Asia	US\$118,850	US\$124,427
North America	3,686	3,699
Europe	67	444
	US\$122,603	US\$128,570

Revenue from Contracts with Customers

Revenues from contracts with customers are further disaggregated by type, product type and timing of revenue recognition, as management believes it best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors.

The Group's revenue from manufacturing of goods recognized over time amounted to US\$84.76 million and US\$78.35 million for the period ended September 31, 2025 and 2024, respectively.

23. Fair Value Measurement

The Group's financial instruments consist of cash, receivables (excluding advances to managers and employees), refundable deposits (included under other noncurrent assets), financial assets at FVOCI, accounts payable and other liabilities (excluding nonfinancial liabilities), bank loans, long-term debt, lease liabilities, and security deposits (included under other noncurrent liabilities).

The following table sets forth the fair value hierarchy of the Group's assets and liabilities:

September 30, 2025

	Carrying value	Total	Fair value measurement using		
			Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Asset measured at fair value:					
Financial assets at FVOCI	US\$2,761	US\$2,761	US\$19	US\$575	US\$2,167
Asset for which fair values are disclosed:					
Other noncurrent assets					
Refundable deposits	597	597	—	—	597
Liabilities for which fair values are disclosed:					
Lease liabilities	1,267	1,307	—	—	1,307
Bank loans and long-term debt	6,394	6,275	—	—	6,275
Other liabilities					
Security deposits	493	621	—	—	621

December 31, 2024

	Carrying value	Total	Fair value measurement using		
			Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Asset measured at fair value:					
Financial assets at FVOCI	US\$2,752	US\$2,752	US\$19	US\$553	US\$2,180
Asset for which fair value are disclosed:					
Other noncurrent assets					
Refundable deposits	553	553	—	—	553
Liabilities for which fair values are disclosed:					
Lease liabilities	1,107	1,112	—	—	1,112
Bank loans and long-term debt	8,380	9,251	—	—	9,251
Other liabilities					
Security deposits	635	708	—	—	708

The fair values of cash, receivables, accounts payable and other liabilities and commercial loans (included under “Bank loans and lease liabilities”) approximate their respective carrying values due to the short-term maturities of these instruments.

The estimated fair values of refundable deposits, lease liabilities, long-term debt, bank loans, and security deposits represents the present value of the amount of estimated future cash flows expected to be collected or paid derived using the incremental borrowing rate of the Group for a similar loan.

The estimated fair values of lease liabilities represent the present value of the amount of estimated future cash flows expected to be collected or paid derived using the applicable rates ranging from 5.11% to 5.90% in 2025 and 2024. Fair values of lease liabilities are included within Level 3 of the hierarchy.

For quoted equity investments, the fair value of financial assets is determined using the market prices of the listed shares and the price of the most recent transaction for non-listed shares. Unquoted investments are measured using market approach on its comparable underlying investments with significant unobservable inputs within Level 3 category.

Financial assets at FVOCI measured at fair value based on the quoted market bid prices are included within the Level 1 of the fair value hierarchy.

The fair values of proprietary golf/club shares measured at FVOCI is determined by using the market price of the proprietary golf /club shares and is included in Level 2 of the hierarchy.

The fair values of the non-listed equity investments categorized within Level 3 of the fair value hierarchy have been estimated using the comparable company valuation multiples technique. The market approach is applied using significant unobservable inputs such as quoted prices of the comparable companies under the real estate industries and lack of marketability discount ranging from 10% to 30%. Factors such as revenue growth and earnings before interest, taxes, depreciation and amortization depreciation are considered on the selection of comparable companies. Increase in quoted prices and decrease in lack of marketability discount increase the value of the investments and vice versa.

As of September 30, 2025 and December 31, 2024, there were no transfer between Level 1 and Level 2 of the fair value hierarchy, and no transfer into and out of the Level 3 category.

24. Dividends Declaration

On March 14, 2025, the Board of Directors approved the declaration of ₱0.10 per share cash dividend amounting to US\$1.46 million to all stockholders of record as of March 28, 2025 with payment not later than April 25, 2025.